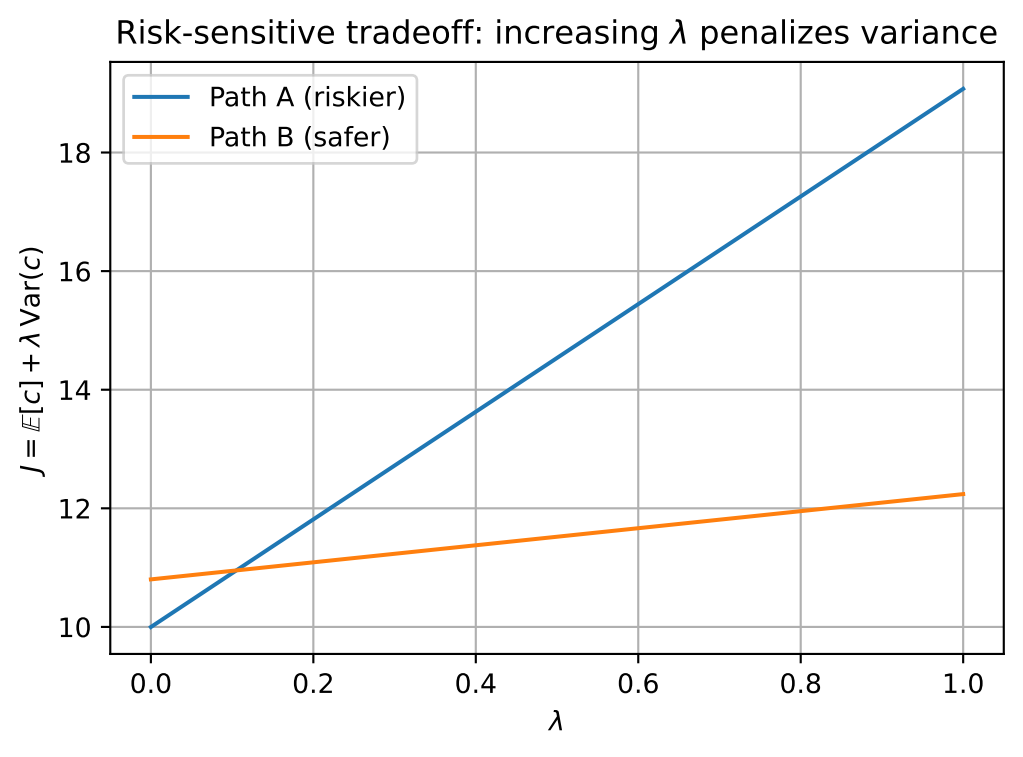
Risk-sensitive tradeoff: increasing λ penalizes variance
Path A (riskier)
Path B (safer)
$J = \mathbb{E}[c] + \lambda\,\mathrm{Var}(c)$
λ
10
12
14
16
18
0.0
0.2
0.4
0.6
0.8
1.0